lululemon athletica (NASDAQ: LULU)

Cyclical dislocation at ~$100 sets up a contrarian overweight case grounded in cash flows, DCF, and comps

Pitch Roadmap

- **Guidance Shock:** Post-cut panic drove LULU to ~$100 despite a long track record of double-digit revenue growth [1]
- **NOPAT Bridge:** Revenue and margin drivers isolate durable cash generation beneath headline volatility [2]
- **Valuation Stack:** 9.0% WACC base-case DCF anchors $133.64 target with bear/bull brackets [3]
- **Risk / Reward:** Football field and comps frame asymmetric re-rating vs. downside floor [1][3]

Links & Sources

- [1] TIKR — LULU guidance-cut selloff: https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story
- [2] Lululemon Q2 FY2026 supplement: https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [3] Valuation model: LULUMODEL18.xlsx

Investment Setup

Guidance reset created a cyclical entry; fundamentals remain intact at double-digit margins

- **Post-Cut Trough:** FY26 guidance cut catalyzed a ~50% drawdown to ~$100/share entry [1]
- **Disproportionate Reaction:** Street penalized a **5–7%** revenue guide cut vs. historical double-digit CAGR [2]
- **Cash Flow Durability:** Clean run-rate operating margin holds at **13.2%** post tariff adjustments [3]
- **Positioning:** Setup favors long-duration holders into FY27–FY28 estimate stabilization [1][3]

Links & Sources

- [1] TIKR — LULU guidance-cut selloff: https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story
- [2] Lululemon Q2 FY2026 guidance release: https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [3] Valuation model: LULUMODEL18.xlsx

Market Sentiment & Street View

Consensus capitulated on guidance; price targets cut sharply while balance-sheet quality was ignored

- **Morgan Stanley:** Cut 2026 revenue outlook to **$10.35B** with a sharply negative post-release stance [1]
- **Consensus PT Reset:** Street target reduced **$176 → $136** as cyclical fears dominated the narrative [2]
- **Neutral Holdouts:** BTIG **Neutral** underscores tactical caution, not structural brand impairment [3]
- **Contrarian Window:** Sentiment trough historically precedes multi-quarter estimate stabilization [2][3]

Links & Sources

- [1] MarketBeat — Morgan Stanley pessimistic LULU forecast
- [2] Simply Wall St — LULU consensus price target history
- [3] GuruFocus — BTIG Neutral reiteration

Thesis & Price Target

$133.64 base DCF supports overweight; margins, WACC discipline, and China offset Americas softness

- **Base Case Target:** DCF implies **$133.64/sh** (**+33.6%** vs. ~$100) on published assumptions [1]
- **Pillar I — Margin Quality: 13.2%** clean run-rate EBIT after normalizing tariff refunds [2]
- **Pillar II — Discount Rate: 9.0% WACC** caps terminal growth at **2.3%** [3]
- **Pillar III — Geo Mix: +4%** China Mainland growth offsets near-term North America stagnation [4]

Links & Sources

- [1] LULUMODEL18_3.xlsx — base-case implied value
- [2] https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf — 13.2% margin bridge
- [3] LULUMODEL18_3.xlsx — WACC & revenue drivers
- [4] https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf — international segment growth

Geographic Revenue Mix

Americas still ~71% of revenue, but China growth provides the offset to domestic comp softness

- **Revenue Scale: $11.1B** FY25 revenue; Americas **$7.85B** (**70.7%** of mix) [1]
- **Americas Pressure:** Comparable sales **-3%** — cyclical macro, not structural brand erosion [2]
- **China Offset:** Mainland China +**20%** to **$1.75B**, validating international growth engine [3]
- **Model Implication:** FY26–30 build leans on China store adds and comps to bridge Americas drag [3]

Links & Sources

- [1] FY2025 10-K segment disclosure: https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [2] FY2025 10-K Americas comparable sales: https://corporate.lululemon.com/~/media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf
- [3] LULUMODEL18.xlsx — China Mainland revenue build

Unit Economics & Moat

Premium DTC mix sustains best-in-class margins and capital efficiency vs. wholesale peers

- **Gross Margin Moat: 56.6%** gross margin — structural premium vs. athletic apparel peers [1]
- **E-Commerce Economics:** DTC e-commerce EBIT margin **23.6%** without retail occupancy drag [2]
- **Store Productivity: $1,426** sales per sq. ft. at **18.6%** store EBIT margin [3]
- **Capital Efficiency:** High-margin, asset-light mix supports FCF conversion through the cycle [1][3]

Links & Sources

- [1] LULUMODEL18_6.xlsx — gross margin assumptions
- [2] LULUMODEL18_6.xlsx — e-commerce EBIT driver
- [3] LULUMODEL18_6.xlsx — store EBIT & SPSF

Industry Structure & Fragmentation

Fragmented athleisure TAM with premium barriers; scale winners compound ROE through cycles

- **Market Structure:** Global athleisure remains fragmented — few operators earn durable excess returns [1]
- **Premium Barriers:** Brand, DTC scale, and product IP protect leaders from cyclical noise [2]
- **ROE Proof Point:** LULU **30.3% ROE** vs. retail median **6.8%** [3]
- **Implication:** Cyclical drawdowns in premium leaders historically precede estimate recovery [1][3]

Links & Sources

- [1] Market.us — athleisure fragmentation data
- [2] Fortune Business Insights — premium athleisure trends
- [3] FinanceCharts — LULU ROE vs. retail median

Peer Margin Comparison

LULU's DTC-led margin stack sits 10–14 pts above legacy wholesale athletic brands

- **LULU Gross Margin: 56.6%** — premium pricing power and mix discipline [1]
- **Nike Benchmark: ~43%** gross margin — wholesale dependence compresses unit economics [2]
- **Under Armour: ~46%** gross margin — distribution model limits pricing leverage [2]
- **Moat Conclusion:** DTC scale blocks structural margin compression seen at wholesale peers [3]

Links & Sources

- [1] LULUMODEL18.xlsx — gross margin assumptions
- [2] Investing.com — NKE & UA historical gross margins
- [3] ProAnalyst — LULU DTC moat analysis

Price dislocation vs. cash-flow durability and balance-sheet optionality

Contrarian Thesis I: Valuation

- **Drawdown Magnitude: >50%** 2026 selloff leaves shares mispriced vs. normalized earnings power [1]
- **Margin Defense: 54.9%** adjusted gross margin on premium DTC mix supports intrinsic value [2]
- **Balance Sheet: $1.78B** long-term debt vs. **$8.53B** total assets — ample strategic flexibility [3]
- **Entry Point:** ~$100 entry offers asymmetric upside into FY27 margin normalization [1][2]

Links & Sources

- [1] Everything Money — LULU drawdown analysis
- [2] Lululemon Q2 FY2026 release: https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [3] GuruFocus — LULU long-term debt & capital lease

Contrarian Thesis II: Margin Path

Partial margin recovery — not peak COVID profitability — still drives compelling upside

- **Peak Reference:** FY24 EBIT margin peaked at **23.7%** — establishes prior earnings power [1]
- **Trough Assumption:** Model resets FY26 run-rate EBIT to **13.2%** — conservative floor [2]
- **Recovery Path:** FY30 EBIT margin **15.5%** still yields **$133.64/sh** base case [3]
- **Key Insight:** Full reversion to COVID-era peaks is not required for material upside [3][4]

Links & Sources

- [1] LULUMODEL18.xlsx / SEC FY2024 10-K
- [2] LULUMODEL18.xlsx — clean run-rate EBIT assumptions
- [3] LULUMODEL18.xlsx — base-case DCF summary
- [4] LULUMODEL18.xlsx — DCF valuation output

Contrarian Thesis III: Geo Divergence

Top-line bridge relies on China acceleration to offset Americas comp contraction

- **Americas Drag:** FY26 comps **-4.0%**, terminal growth **2.0%** by FY30 [1]
- **China Lever:** FY26 openings skew **+20 China** / **+8 Americas** with **+14.0%** China comps [2]
- **Revenue Bridge:** International scaling must carry consolidated growth through FY28 [2]
- **Key Risk:** China consumer slowdown breaks core top-line assumptions [3]

Links & Sources

- [1] LULUMODEL18.xlsx — Americas FY26–FY30 comp assumptions
- [2] LULUMODEL18.xlsx — FY26 store openings & China build
- [3] LULUMODEL18.xlsx — revenue drivers schedule

Risk & Mitigants

Bear-case floor defined; buybacks and CapEx discipline compound EPS recovery

- **China Downside:** Bear case **$56/sh** floor; **$45.64** cumulative cash/sh recovers **45%** of entry [1]
- **CapEx Flex:** Reduced CapEx saves **$360M/yr**; e-commerce **23.6%** EBIT + **$101.5M** inventory release [2]
- **Buyback Engine:** Deploying **$500M** annually into buybacks retires **~18.7M** shares, compounding diluted EPS to **$12.93** by FY30 (IS forecast) [3]
- **Price Recovery:** EPS accretion supports sentiment; **$133.64** base target is DCF on day-one shares (buybacks do not change IV per share) [3]

Links & Sources

- [1] LULUMODEL18.xlsx — bear-case DCF summary
- [2] LULUMODEL18.xlsx — CapEx & e-commerce EBIT / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [3] LULUMODEL18.xlsx — share repurchase & EPS accretion

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Recovery milestones from Q3 FY2026 trough through FY2027–FY2028 multiple re-rating

Timeline of Recovery

2026 (Q3 FY2026 Trough)	Q3 FY2026 revenue laps guidance trough while China Double 11 sales confirm holiday store traffic floor stabilization across key markets [1]
2027 (FY2026 Year-End)	First full-year reset absorbs steep prior declines while $134.5M tariff refunds and targeted SG&A cost actions protect earnings per share [2]
2027 (FY2027 Margin Inflection)	Operating margins expand to 13.8% (+60 bps) as promotional headwinds anniversary, while 75% UFCF buybacks compound EPS to boost sentiment [3]
2028 (FY2027–FY2028 Multiple Re-Rating)	Accelerating international store scaling (+12% China comps) offsets Americas softness (-4%), driving overall revenue recovery and valuation re-rating toward $133.64 [4]

Links & Sources

- [1] LULUMODEL18.xlsx, Scenarios & Revenue Drivers / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [2] LULUMODEL18.xlsx, NOPAT Bridge & Scenarios / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [3] LULUMODEL18.xlsx, Scenarios & Unlevered Free Cash Flow Schedule / https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733
- [4] LULUMODEL18.xlsx, Revenue Drivers & DCF Valuation Summary / https://stockanalysis.com/stocks/lulu/forecast/

Financials | Income Statement

Reported history (10-K) vs base-case operating forecast: FY26–30 (US$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Net revenue: FY22 $8,111M → FY25 $11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 $6.68 → FY25 $13.26

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 $9.55 → FY30 $12.93

US$ M	22	23	24	25	26	27	28	29	30
Net revenue	**8,111**	**9,619**	**10,588**	**11,103**	**10,425**	**10,665**	**10,910**	**11,161**	**11,418**
Gross profit	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
Operating income	**1,328**	**2,133**	**2,506**	**2,211**	**1,511**	**1,469**	**1,566**	**1,666**	**1,770**
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
Net income	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
Diluted EPS ($)	**6.68**	**12.20**	**14.64**	**13.26**	**9.55**	**9.65**	**10.66**	**11.75**	**12.93**

Line item	Hist source (22–25)	Fcst source, Scenarios col G
Net revenue	10-K IS, Net revenue	Scenarios!G25:G29 (Revenue yr 1–5)
Gross profit	10-K IS, Gross profit	Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)
Operating income	10-K IS, Operating income	Scenarios!G45:G49 (EBIT yr 1–5)
Operating margin %	10-K IS, OI ÷ revenue	Scenarios!G45:G49 ÷ Scenarios!G25:G29
Net income	10-K IS, Net income	Scenarios!G143:G147 (pitch bridge NI)
Diluted EPS	10-K IS, Diluted EPS	NI ÷ buyback-adjusted shares ($500M/yr; Scenarios!G188:G192)

Forecast: LULU_DCF_Valuation_Model.xlsx → Scenarios col G. EPS = NI ÷ diluted shares after $500M/yr repurchases (DCF $134 still uses 111.4M day-one basic shares). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Net-cash history vs base-case funded growth: FY26–30 (US$ M)

Financials | Balance Sheet

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: $0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: $0 (no term debt in model)

US$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents	1,155	2,244	1,984	1,807	2,393	2,825	3,317	3,874	4,497
Inventories	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
Total assets	**5,607**	**7,092**	**7,603**	**8,457**	**7,941**	**8,124**	**8,310**	**8,502**	**8,697**
Total liabilities	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
Total equity	**3,149**	**4,232**	**4,324**	**4,962**	**4,659**	**4,766**	**4,876**	**4,988**	**5,103**
Funded debt	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Line item	Hist source (22–25)	Fcst source, Scenarios col G
Cash & equivalents	10-K BS, Cash & equivalents	Scenarios!G163:G167 (pitch bridge cash roll-forward)
Inventories	10-K BS, Inventories	Scenarios!G80:G84 (NWC schedule)
Total assets	10-K BS, Total assets	Scenarios!G168:G172 (FY25 TA × rev growth)
Total liabilities	10-K BS, Total liabilities	Scenarios!G173:G177 (FY25 TL × rev growth)
Total equity	10-K BS, Total equity	Scenarios!G178:G182 (FY25 TE × rev growth)
Funded debt	10-K BS, Long-term debt ($0)	Model assumption, $0 (no term debt)

BS forecast: cash roll-forward includes $500M/yr buybacks; equity scales with revenue (buyback-driven equity reduction shown via CF / IS share count, not TE line). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Financials | Cash Flow

Operating FCF (DCF input) vs financing: historical 10-K vs base case (US$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO − capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

US$ M	22	23	24	25	26	27	28	29	30
Cash from operations	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
D&A (add-back)	292	379	447	496	469	480	491	502	514
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
Free cash flow	**328**	**1,644**	**1,583**	**922**	**1,087**	**931**	**993**	**1,056**	**1,123**
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)	(500)	(500)

Line item	Hist source (22–25)	Fcst source, Scenarios col G
Cash from operations	10-K CF, Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF, Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1–5)
Capital expenditures	10-K CF, Capital expenditures	Scenarios!G60:G64 (Capex yr 1–5)
Free cash flow	10-K CF, CFO − capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF, Repurchases (financing)	Scenarios!G158:G162 (G21=$500M/yr fixed)

Buybacks: $500M/yr fixed (Scenarios col G). Cash roll-forward = prior cash + FCF − buybacks. Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Financials | Capital Structure

Cap stack and WACC build: lease-adjusted; no funded term debt

CAPITAL STACK (US$ M)

Component	US$ M	WACC weight
Market equity (price × shares)	11,138	86.1%
ASC 842 operating lease liabilities	1,798	13.9%
Funded debt (term loans / bonds)	0	0.0%
Total capital (WACC basis)	**12,936**	**100.0%**

EV BRIDGE (NOT IN WACC WEIGHTS)

Component	US$ M	Note
Cash & equivalents	1,807	Added back in EV → equity bridge
Net debt (leases − cash)	-9	Near net-cash; leases in WACC above

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash $1,807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

Input	Value
Risk-free rate (10-yr UST)	4.80%
Equity risk premium	6.00%
Tax rate	30.00%
Beta (relevered; lease adj.)	0.84
Cost of equity (CAPM)	**9.86%**
Pre-tax Kd (lease-equivalent)	5.00%
After-tax Kd	3.50%
Equity / debt weight	86.1% / 13.9%

β: Yahoo βL 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price $134

MODEL SOURCE MAP

Line item	DCF model source (WACC tab, col E)
Market equity	WACC!E10
ASC 842 operating leases	WACC!E11 (FY25 10-K)
Funded debt	WACC!E13
Total capital	WACC!E14
Cash & equivalents	10-K BS, Cash
Net debt	DCF EV bridge
Risk-free rate	WACC!E3
Equity risk premium	WACC!E4
Tax rate	WACC!E5

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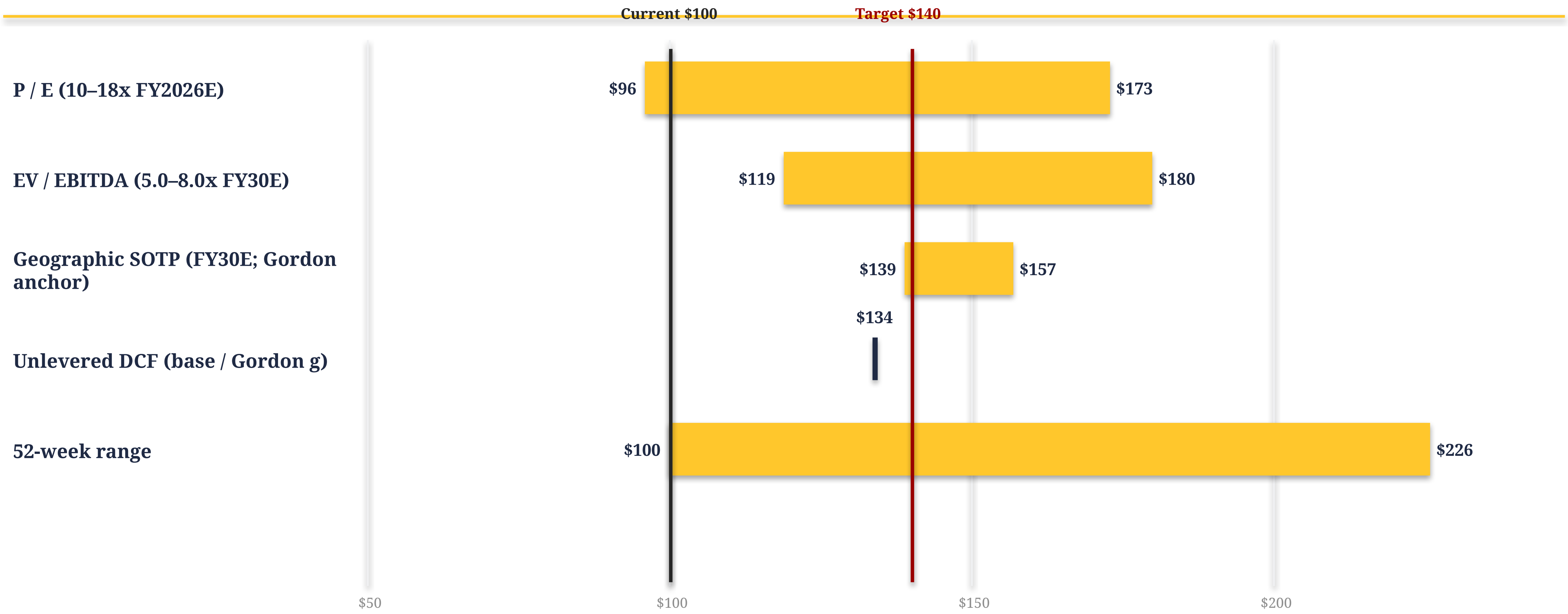
Football field: implied share-price ranges by methodology (base case DCF)



12-month target $140 sits above base-case DCF $134 and inside the comps/SOTP ranges: a partial re-rating, not a return to peak multiples.

DCF row = Scenarios col G (Gordon growth). Bear $56 / bull $202 bracket scenario range from the model.

Source: LULU_DCF_Valuation_Model.xlsx → Comps / football field tab; geographic SOTP on FY30E base revenue mix

Sum of the Parts

Geographic segments on FY30E base revenue: EV/EBITDA spreads vs Gordon-implied exit (7.4x)

Segment	FY30E rev	EBITDA %	FY30E EBITDA	EV/EBITDA	Segment EV ($M)
Americas	8,070	16.5%	1,551	6.4x–7.1x	9,924–11,010
China Mainland	1,805	19.5%	410	7.9x–9.4x	3,238–3,852
Rest of World	1,543	18.0%	324	7.1x–8.1x	2,297–2,621
Total segment EV	**11,418**		**2,284**	**6.8x–7.7x**	**15,459–17,483**
Corporate / HQ (no separate carve-out)				n/a	$0
+ Cash / − lease debt (EV bridge)				n/a	+1,807 / −1,798
Implied equity value / share				**n/a**	**$139–$157**

Methodology

- Single-brand retailer: geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity: not the 5–8x comps football-field band)
- Americas: Gordon − 1.0x to − 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: −0.25x to +0.75x
- Consolidated base-case DCF $134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: $139–$157

Base-case DCF: $134

Overlap is expected: SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Segment revenue: FY2025 10-K geography; FY30E scaled to base-case consolidated revenue (Scenarios col G)

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DCF Valuation

Base-case unlevered DCF (Scenarios col G): Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

Assumption	Value
FY2026 revenue growth	-6.1%
FY2027–30 revenue growth (avg)	+2.3%
Clean EBIT margin (FY26 run-rate)	13.2%
Terminal EBIT margin (FY2030E)	15.5%
FY26 tariff refunds (one-time)	$134.5M
Cash tax rate	30%
Capex % of revenue	5.5%
WACC	9.0%
Terminal growth (g)	2.25%
Gordon-implied exit EV/EBITDA (identity)	7.4x

VALUATION OUTPUT (US$ M)

PV of explicit FCF (FY26–FY30) **3,944**

PV of terminal value **10,933**

Enterprise value 14,876

Plus: cash **1,807**

Less: lease debt (ASC 842) **(1,798)**

Equity value 14,885

÷ Diluted shares (M) **111.4**

Implied value: $134 / share

TERMINAL VALUE | GORDON GROWTH (SELECTED)

Method	Formula / input	FY30 TV ($M)
Gordon growth (selected)	$FCF_5 \times (1+g) / (WACC-g)$; g=2.25%	16,804
Exit multiple (identity check)	FY30 EBITDA × 7.4x = Gordon TV ÷ EBITDA (same number)	16,804

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA $2,284M (not a peer pick)

Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

SENSITIVITY | IMPLIED SHARE PRICE (WACC vs TERMINAL g)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	$115	$121	$124	$127	$135
10.0%	$108	$113	$116	$119	$125
10.5%	$102	$106	$109	$111	$117
11.0%	$97	$100	$103	$105	$110

Base-case cell

WACC 9.0% × g 2.25% → $134. Grid brackets ±100bps WACC and 1.5–3.0% g.

Source: LULU_DCF_Valuation_Model.xlsx → Scenarios col G + DCF tab

Comps Analysis

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES | TRADING MULTIPLES

Company	EV/Rev	EV/EBITDA	EV/EBIT	P/E
adidas	1.51x	9.2x	18.6x	19.1x
Nike	1.27x	12.7x	15.9x	18.3x
Deckers	2.47x	7.9x	9.8x	12.1x
Crocs	1.74x	7.8x	7.8x	10.3x
Levi Strauss	1.52x	9.6x	18.1x	15.0x
Kontoor	2.01x	12.8x	15.4x	18.0x
Core median (ex-LULU)	1.63x	9.4x	15.7x	16.5x
LULU @ $100 (current)	**1.07x**	**4.7x**	**5.0x**	**10.4x**

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

Metric	Peer med.	LULU base	Implied px
EV / Revenue	1.63x	$10,425M	$119–$231 (med $153)
EV / EBITDA	9.4x	$2,707M	$190–$311 (med $229)
EV / EBIT	15.7x	$2,211M	$155–$369 (med $311)
P / E	16.5x	$9.61	$99–$183 (med $158)

Implied EV = peer median × LULU base (cols 2–3); P/E = median × EPS (no EV). EV + cash − lease debt ÷ shares = equity/sh.

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base → EV, then + cash − ASC 842 lease debt ÷ shares.

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E.

DCF terminal valuation discount

Base-case DCF uses Gordon growth g = 2.25%, implying 7.4x FY30 EV/EBITDA exit multiple: well below the 9.4x peer median (right table uses TTM EBITDA).

Conservative target price re-rating

Our $134 base-case DCF and $140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating: not Nike-level multiples.

lululemon athletica (NASDAQ: LULU)

Precedent Transactions

Private-market context for athleisure M&A: not used to imply a control premium on LULU

Target	Year	Type	EV ($M)	EV/Rev	EV/EBITDA	Status
Sweaty Betty	2021	Closed acquisition	410	1.6x	16.0x	Closed Aug-2021; ~16x FY21E EBITDA
Gymshark	2020	Minority growth round	1,300	5.0x	n/a	Closed Aug-2020; $1.3bn EV (minority)
Vuori	2021	Growth investment	4,000	n/a	n/a	Closed Oct-2021; $4bn post-money
Alo Yoga (Color Image)	2023	Unclosed sale process	10,000	5.0x	n/a	Unclosed; no deal per Reuters Jun-2026
LULU (public @ $100)	**n/a**	**Public equity**	**11,129**	**1.07x**	**4.7x**	**Trading comps only (not a premium benchmark)**

Private precedent framework

Non-Alo private transactions establish a contextual floor of what strategics and PE pay for premium athleisure. They do not imply a control premium on LULU's public stock.

Closed M&A benchmark

Wolverine paid $410M (~16x EBITDA, ~1.6x sales) for Sweaty Betty (2021), a concrete operating-company precedent for women's DTC activewear.

Growth capital rounds

Gymshark ($1.3B implied EV, 2020 minority stake) and Vuori ($4B post-money, 2021) show institutional demand and realistic baselines for premium DTC brands.

Excluded unclosed process

Alo's ~$10B ask (~5.0x EV/Sales) is LULU's closest yoga peer, but unclosed private asks cannot dictate actual public equity valuation.

Valuation stack

DCF base: $134 | Target: $140

Comps median EV/EBITDA 9.4x → ~$229/sh

Reasonably assumed ceiling from peer EV/EBITDA re-rating. Not our price target.

Source: Wolverine IR/SEC (Sweaty Betty); Bloomberg (Gymshark); BusinessWire/Reuters (Vuori); Reuters/Forbes (Alo)